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Debt Can Be Good at All Ages

“...I want to pay off all my loans in the next ten years, so that by the time I am retired I don’t owe money, and I certainly want to make sure I don’t die with any debt....”

Myth #4

As an undergraduate college student living and enjoying the ‘80s life in New York City, I amassed a fairly large amount of debt, accumulating a diversified portfolio of small loans owed to personal friends of mine and even my roommate. Although the liberal arts college I was attending had arranged for student loans and I had a part-time job boxing cartons in a bookstore, I didn’t have any money left over at the end of the month. Looking around for a “solution” to my growing problem, I decided to apply for a credit card from one of the many companies flooding the campus with pamphlets. At the time, this seemed like the equivalent of “free money” to me because I still had not mastered the idea that a line of credit is not an asset, and that paying 25% interest might not be the greatest investment. Anyway, I eagerly sat down to fill in the paperwork for the credit card and got to the line in the application form where it said, “Cosigner must complete this section.” That’s when it hit me that this might not be as easy as it first sounded. So, I decided to approach my grandfather to be a cosigner, because I presumed that they were looking for somebody “old and wise” to vouch for my good character. He had just retired as a high school principal in Cleveland. So, I broached the topic with him one day when I was visiting. Not wanting to get too complicated, I asked him vaguely if he could help out and sign some paperwork I